

FEDERAL MARITIME COMMISSION

DOCKET NO. 21-09

**HAPAG-LLOYD, A.G. and HAPAG-LLOYD (AMERICA) LLC.—POSSIBLE
VIOLATIONS OF 46 U.S.C. § 41102(c)**

BUREAU OF ENFORCEMENT REPLY BRIEF

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Spiller v. Atchison, T. & S.F.R. Co., 253 U.S. 117 (1920)
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Kin Bridge Express Inc. and Kin Bridge Express (U.S.A.) Inc.—Possible Violations of Sections 8, 10(a)(1), 10(b)(1) and 23 of the Shipping Act of 1984, 1999 FMC LEXIS 22 (FMC 1999)

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I. INTRODUCTION

The Bureau of Enforcement (BOE) files this reply to the Reply Brief of Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC (Respondent's Brief or Resp. Br.) which was filed on March 21, 2022 in FMC Docket No. 21-09. This proceeding was commenced by the Federal Maritime Commission (FMC or Commission) on November 10, 2021 through its issuance of an Order of Investigation and Hearing (Order of Investigation & Hearing or Investig. & Hr'g) pursuant to 46 U.S.C. §§ 41102(c), 41302(a), and 46 C.F.R. § 502.63. Investig. & Hr'g at 5. The Commission ordered this proceeding to determine whether Hapag-Lloyd, A.G. and/or Hapag-Lloyd (America) LLC (collectively, Hapag-Lloyd or Respondent) violated Section 41102(c) of the Shipping Act of 1984, by failing to establish, observe, and enforce just and reasonable regulations and practices relating to its assessment of detention charges on containers when return locations with corresponding appointments were unavailable. *Id.*

Respondent argues that no violation has occurred, but Respondent's argument is built on unsupported facts, a misunderstanding of the guidance in the Commission's interpretive rule, *see Final Rule: Interpretive Rule on Demurrage and Detention under the Shipping Act (Interpretive Rule)*, 85 Fed. Reg. 29638, 29650 (Fed. Mar. Comm'n May 18, 2020), and a flawed analysis of what are just and reasonable regulations and practices for a *common carrier* to employ rather than a motor carrier. Central to this case is the incentive principle and the concept of scarcity.

The Interpretive Rule explains that demurrage and detention charges have "intended primary purposes as financial incentives to promote freight fluidity." 46 C.F.R. § 545.5(c)(1). If there are detention charges that do not incentivize freight fluidity, i.e., if detention charges are applied when empty containers cannot be returned, such a practice or regulation is unreasonable. *Id.* 545.5(c)(ii). The Interpretive Rule and the incentive principle do not provide detailed analyses to determine whether it was reasonably possible for empty containers to be returned, rather it indicates if empty

containers are prevented from being returned and detention charges are being applied, such a practice or regulation is unreasonable.

Contrary to the Interpretive Rule, Respondent's brief wrongly analyzes Hapag-Lloyd's practices and regulations through the lens of whether it is reasonable for Hapag-Lloyd to charge detention if there were *possible* opportunities for motor carriers to have returned empty containers rather than if such charges actually incentivized freight fluidity. Respondent asserts that the possibility of being able to return an empty container, and the fear of a detention charge, is the incentive principle. However, Respondent ignores the concept of scarcity or finite opportunity. That concept provides that, if there are few appointments in a day or shift, a high demand for returns to be made, and a finite amount of time to plan, request, or staff such appointments, then a lack of appointments and inability to return containers will be the result.

At a time of unprecedented port congestion, Respondent cannot defend its practices and regulations as compliant with the Interpretive Rule and the incentive principle. Respondent's inflexible focus on a motor carrier's possible opportunity to be able to return any container does not incentivize freight fluidity. Threatening motor carriers with high detention charges in circumstances where those carriers are already incentivized but prevented from completing a return, is unreasonable. Hapag-Lloyd's practice hinders freight fluidity as motor carriers must now devote time and energy to dispute erroneous invoices and prove their inability to return containers.

II. PRELIMINARY MATTERS

A. Discovery Issues

1. Govil Affidavit

BOE objects to Respondent's use of the Affidavit of Sandeep Govil, attached to Respondent's Appendix as Exhibit B (Govil Affidavit or Govil Aff.). The Govil Affidavit is signed

and dated March 21, 2022. The Govil Affidavit was not previously produced nor disclosed to BOE before the close of discovery on March 4, 2022, per the Scheduling Order (Sched. Order or Scheduling Order) filed on January 6, 2022 in FMC Docket No. 21-09. Nor was Sandeep Govil (Govil) included on Respondent's Initial Disclosures, filed December 13, 2022. These disclosures were not updated throughout discovery.

The controlling procedural rules in an FMC proceeding are contained in 46 C.F.R. § 502. Where the rules are silent, the Federal Rules of Civil Procedure apply. 46 C.F.R. § 502.12. Under 46 C.F.R. § 502.141(b), Respondent had a duty to disclose this individual's identity and contact information, if known. Under 46 C.F.R. § 502.141(k), Respondent had a duty to supplement this response with the witness's information when it became known.

Under the Federal Rules of Civil Procedure (FRCP), Rule 26(a)(3), Respondent had a duty to disclose information it may present at trial (here, in an FMC proceeding, the filing of briefs), of each witness it expected to present, unless used solely for impeachment. Under FRCP Rule 37(c), Respondent failed to identify Govil as a witness and supply the Govil affidavit during Discovery, so Respondent should not be allowed to use the Govil Affidavit or Govil as a witness at the briefing stage of the proceeding, akin to a trial under the FRCP.

The proposed Govil testimony cannot be offered for purposes of impeachment because it raises new facts regarding policies not followed by its agent, new facts regarding the return of containers other than those already indicated in this proceeding, and facts which are not in dispute. For example, the Govil Affidavit describes the waiving of charges due to terminal closures (for example the Memorial Day holiday) which is not in dispute. The Govil Affidavit also describes the experiences of other motor carriers, which is not in dispute, or GSL's experience with other containers, also not in dispute. The facts presented point to the reality that other containers were

returned to the terminals at issue, on the dates at issue—which serves to instead further bolster BOE’s argument that appointments filled up, preventing GSL from returning the eleven containers presented here. Appointments become filled by other motor carriers, for other containers, in times of high demand and limited allocations by carriers. The central issue in this case is not whether there were enough allocations by Respondent for return locations, or whether terminals were able to provide appointments on certain days. BOE asserts that in times of high congestion, and/or limited return location allocations, motor carriers cannot return all the containers they need to return. Under these circumstances, detention charges cannot serve their incentivizing principle, and Respondent’s continued policy to collect detention under these circumstances is unreasonable under 46 U.S.C. § 41102(c), especially in light of the Interpretive Rule, 46 C.F.R. § 545.5.

2. Padilla Materials

Respondent seeks to have the Verified Statement of Gabriel Padilla (V.S. Padilla), the Second Verified Statement of Gabriel Padilla (Second V.S. Padilla), and the Gabriel Padilla Demonstration Session (Padilla Demo) (collectively, Padilla Materials) rejected on the grounds that they are hearsay. Resp. Br. at 10. However, this proceeding is governed by the Administrative Procedure Act (APA), 5 U.S.C. § 551 *et seq.*, and the Commission’s Rules of Practice and Procedure (Commission’s Rules), 46 C.F.R. § 502. Both the APA and the Commission’s Rules allow for admission of hearsay evidence as long as it is not irrelevant, immaterial, or unduly repetitious. *See* 5 U.S.C. § 556(d); 46 C.F.R. § 502.202. The APA evidentiary standard is the statutory adaptation of the Supreme Court’s long held view that administrative agencies are not bound by the formal rules of evidence, and that hearsay is admissible in agency proceedings. *See ICC v. Louisville & Nashville R. Co.*, 227 U.S. 88 (1913); *Spiller v. Atchison, T. & S.F.R. Co.*, 253 U.S. 117 (1920); *Opp. Cotton Mills v. Administrator*, 312 U.S. 126 (1941); *FTC v. Cement Institute*, 333 U.S. 683 (1948); and *Richardson v. Perales*, 402 U.S. 389 (1971).

Although hearsay evidence is admissible in administrative law, the Padilla Materials are not hearsay in this instance. First, Mr. Padilla's statements in the Padilla Demo describe what he saw and experienced when using the same third-party website as GSL. As such, it is not hearsay. In the two verified statements (V.S. Padilla; Second V.S. Padilla), Mr. Padilla is describing his understanding of terminal operations, based on trustworthiness. Under this concept the two verified statements are admissible. See Fed. R. Evid. 807(a)(1),(2) ("Under the following conditions, a hearsay statement is not excluded by the rule against hearsay [if] (1) the statement is supported by sufficient guarantees of trustworthiness . . . and (2) it is more probative on the point for which it is offered . . ."). First, Mr. Padilla is testifying within his position as an employee of the FMC, specifically as the Los Angeles-Long Beach Area Representative. As such, his statements have guarantees of trustworthiness. Second, the statements are offered as material facts as to how marine terminals in Mr. Padilla's area of responsibility operate. Third, the statements are more probative on the points it offers than alternative evidence; Respondent offers no alternative evidence regarding port or terminal operations. Fourth, the interests of justice are best served by admission of the statements because they provide necessary context and background to both parties' assertions. Fifth, sufficient notice was given to Respondent, as Mr. Padilla's identity and contact information were included on BOE's Initial Disclosures, served December 13, 2021.

B. Parties

Respondent is correct that BOE stipulated that Hapag-Lloyd (America) LLC is not a common carrier, marine terminal operator, or ocean freight forwarder. However, due to a delay in discovery responses, this stipulation was only completed on March 18, 2022, a week after BOE's Opening Brief was due per the Scheduling Order. Sched. Order at 2. Because of the timing of these stipulations, Hapag-Lloyd (America) LLC was still included on BOE's Opening Brief. This, however, does not mean the proceeding should be discontinued in its entirety. BOE has established

that Hapag-Lloyd America (LLC) is an agent of Hapag-Lloyd, AG, and as such, Hapag-Lloyd AG is responsible for its actions. *See* Opening Br. Bureau of Enforcement at 17–19; *see also* BOE Ex. F, Resp. 3rd Interrog. and RFP at BOE000118.

III. ARGUMENT

A. Prima Facie Case and Burden of Proof

Respondent argues that BOE has failed to establish a prima facie case. But Hapag-Lloyd’s characterization of its violation and its arguments defending its actions are a red herring to the true legal issues in controversy here. Respondent is a common carrier. Respondent’s detention charges are its normal, customary, and continuous practice and regulation which relates to and connects with Hapag-Lloyd’s receiving, handling, storing, and delivery of property. The practice and regulation at issue here is unjust and unreasonable.

Respondent’s detention charges are unjust and unreasonable because it is charging motor carriers detention for days that the motor carrier was precluded from returning empty containers. This action is in contravention of the Interpretive Rule. Respondent argues that BOE must show that the “containers in question were in fact empty and ready to be returned,” Resp. Br. at 3, but this ignores the reality of this facet of the supply chain. Motor carriers begin planning for container return, including searching for locations and appointments, at their earliest opportunity in order to maintain fluidity. BOE Ex. B, Cruz Dep. Tr. at 19–22, BOE 00043–46. Respondent’s argument convolutes the legal issue before the ALJ.

Although detention issues may be nuanced and complicated; this proceeding is simple in that the ALJ is asked to settle one question of law—whether it is reasonable for Hapag-Lloyd to charge motor carriers detention charges when they are unable to return an empty container. Respondent complicates the issue with hypotheticals where it was conceivably possible for a motor

carrier to return a single container to a single terminal, rather than focusing on the evidence showing that those motor carriers were precluded.

Respondent further attempts to complicate the issue by questioning the BOE's burden of proof. The established standard of proof in administrative proceedings is preponderance of the evidence. See *Portman Square, Ltd.—Possible Violations of Section 10(a)(1) of the Shipping Act of 1984 (Portman Square)*, 1998 FMC LEXIS 27; *Kin Bridge Express Inc. and Kin Bridge Express (U.S.A.) Inc.—Possible Violations of Sections 8, 10(a)(1), 10(b)(1) and 23 of the Shipping Act of 1984*, 1999 FMC LEXIS 22 (FMC 1999); *Oceanic Bridge Int'l, Inc. – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 2014 FMC LEXIS 24 (FMC 2014). This requires BOE to demonstrate that “something in fact occurred more probably than not. This standard of proof is less stringent than the ‘clear and convincing’ evidence standard or, of course, the ‘beyond a reasonable doubt’ standard that prevails in criminal cases.” *Portman Square*, 1998 FMC LEXIS 27, *16 (citations omitted).

Respondent misunderstands the nature and extent of BOE's burden of proof. Resp. Br. at 4. Respondent cites *EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc.—Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. § 515.27*, 2009 FMC LEXIS 38, *31-33, and interprets the case to mean that BOE must evaluate each shipment individually. This is a misunderstanding of the burden of proof and should be disregarded as a section of the cited case which was subsequently remanded and partially reversed.¹ BOE's burden of proof is a preponderance of the evidence. *EuroUSA Shipping, Inc.*,

¹ *EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc.—Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. § 515.27*, 2009, FMC LEXIS 38, was rendered with regards to party Tober Group, Inc. This decision was reviewed by the Commission, which served an Order Vacating Initial Decision in Part, Reversing in Part, and Remanding for Further Proceedings on April 4, 2012 (2012 FMC LEXIS 24). The ALJ served an Initial Decision on Remand December 31, 2012 (2012 FMC LEXIS 24), and the Commission served an Order Affirming in Part, Reversing in Part, and Vacating in Part Initial Decision on Remand, discontinuing the proceeding, on September 10, 2013 (2013 FMC LEXIS 44).

*Tober Group, Inc., and Container Innovations, Inc.—Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission’s Regulations at 46 C.F.R. § 515.27 (EuroUSA), 2009 FMC LEXIS 21, *27.* Within the same proceeding, three months later, with regards to Container Innovations, the ALJ stated:

To prevail in a proceeding brought to enforce the Shipping Act, BOE has the burden of proving by a preponderance of the evidence that the respondent violated [5 U.S.C. § 556(d)]. As of 1946 the ordinary meaning of burden of proof was burden of persuasion, and we understand the APA’s unadorned reference to “burden of proof” to refer to the burden of persuasion.”² The party with the burden of persuasion must prove its case by a preponderance of the evidence It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient.

Id. (internal citations and quotations omitted).³

Enforcement proceedings are governed by the Administrative Procedure Act, 5 U.S.C. § 551, et seq. The standard of proof in an administrative proceeding is to show by a preponderance of the evidence that something in fact occurred. *Portman Square*, 1998 FMC LEXIS *27.⁴

BOE meets the burden of preponderance of evidence. Respondent’s practices in denying disputed detention invoices without regard to appointment availability are well-evidenced through its rejections of waiver requests for the eleven containers in controversy and Hapag-Lloyd’s use of

³ *EuroUSA*, 2009 FMC LEXIS 21 was rendered with regards to party Container Innovations, Inc. and was not subsequently reviewed by the Commission, nor reversed or remanded.

⁴ This is the standard that the Commission has consistently applied in its decisions. See *Petition of South Carolina State Ports Authority for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997), citing *Sea Island Broadcasting Corp. v. F.C.C.*, 627 F.2d 240 (D.C. Cir.), cert. denied, 448 U.S. 834 (1980); *Adair v. Penn-Nordic Lines Inc.*, 26 S.R.R. 11, 15 (I.D. 1991); *Sanrio Co. Ltd v. Maersk Line*, 19 S.R.R. 1627, 1632 (I.D.) adopted 20 S.R.R. 21 (FMC 1980); *Port Authority of New York v. New York Shipping Ass’n*, 22 S.R.R. 1329, 1353 (I.D. 1984) adopted 23 S.R.R. 21 (FMC 1985). The courts have described “preponderance of the evidence” as the least demanding of the three standards of proof. *Steadman v. S.E.C.*, 450 U.S. 91, 101-102 (1981), reh. denied, 451 U.S. 933 (1981). Preponderance of the evidence means the greater weight of the evidence, evidence which is more convincing than the evidence which is offered in opposition to it. *Hale v. Department of Transportation*, 772 F.2d 882, 885 (Fed Cir 1985); see also *Concrete Pipe & Products of Cal. Inc v. Construction Laborers Pension Trust for Southern Cal.*, 508 U.S. 602, 622 (1993). (“The burden of showing something by a preponderance of the evidence...simply requires the trier of fact to believe that the existence of a fact is more probable than its nonexistence before [he] may find in favor of the part who has the burden to persuade...”) In holding that the APA explicitly authorized the “preponderance of the evidence” test of administrative agency proceedings, the Supreme Court found that Congress did not chose a more burdensome standard. *Steadman* at 102. (“Nor is there any suggestion in the legislative history that a standard of proof higher than a preponderance of the evidence was ever contemplated, much less intended.”).

similar language in its rejection of waiver requests concerning other motor carriers. *See* BOE Exhibit A, Hapag-Lloyd Dispute Emails at BOE 000003; BOE Exhibit L, V.S. OAE at BOE 000277. Respondent’s agent has admitted the typical procedure and Respondent is responsible for the actions of its agent. BOE Exhibit I, Saavedra Dep. Tr. at 7, BOE 000188. Additional documentation provided by Respondent also indicates that disputes are evaluated only in contrast to the “shut-out” calculator, and not to appointment availability in times of high demand or port congestion. *Id.* at 13–14, BOE 000194–95; BOE Exhibit F, Resp. 3rd Interrog. and RFP at BOE 000118. It is appropriate to draw inferences from Respondent’s repetitive language regarding its explanations of rejecting disputes. Inferences may also be drawn with respect to its repeated assertions relying on the “shut-out” information. Further, Respondent’s practices do not consider appointment availability as encouraged by the Interpretive Rule.⁵

B. Hapag-Lloyd’s Failure to Establish, Observe, and Enforce Just and Reasonable Practices Relating to Empty Container Returns and the Waiver of Detention

Respondent misunderstands what just and reasonable practices are for a common carrier. It was neither just nor reasonable to deny detention waivers after they were presented with evidence that motor carriers were unable to obtain appointments at terminals—terminals toward which Respondent directed the motor carriers. Once detention charges were disputed with evidence by motor carriers, common carriers such as Hapag-Lloyd should have waived such detention charges. Respondent’s concentration on a motor carrier’s “possible” opportunities to return an empty container does not refute the fact that motor carriers were prevented from returning a container in the first place. Respondent’s violation of Section 41102 (c) of the Shipping Act is its refusal to waive detention charges after presented with evidence that motor carriers could not obtain

⁵ Appointment availability is a recurrent theme in the Interpretive Rule, mostly in regards to picking up imports, but the underlying concept of appointment unavailability is present in empty container return as well. *See Interpretive Rule*, 85 Fed. Reg. 29638.

appointments. Respondent's violation is not just the eleven shipments in controversy, but Respondent's business practice in refusing to waive detention charges where there are no further incentives to promote freight fluidity.

Notwithstanding BOE's objection to the inclusion of the Govil Affidavit, the information presented does not describe reasonable regulations and practices. First, there is the matter of undisclosed return locations. Respondent states that the matrix it provides motor carriers is not a complete list of all possible return locations. Pursuant to the Uniform Intermodal Interchange and Facilities Access Agreement (UIIA), Respondent has an obligation to provide motor carriers a list of return locations by 4:00 pm the day before. THE INTERMODAL ASSOCIATION OF NORTH AMERICA, Uniform Intermodal Interchange and Facilities Access Agreement, <https://www.uiia.org/sites/default/files/documents/newuiia-Home.pdf>, (Feb. 9, 2022) at 4. ("Provider must notify the Motor Carrier by e-mail by 16:00pm local time the business day prior . . .") (Last visited Mar. 25, 2022).

Although the Commission does not have direct oversight of the UIIA, this contractual obligation indicates reasonableness. Here, Respondent claims that the UIIA's obligatory return locations matrix is incomplete; the information it presents to motor carriers as being a list of empty return locations is only a partial one. It is reasonable for motor carriers to assume that the matrix contains all possible return locations for empty containers, to which the VOCC instructs MTOs to accept. Respondent's reliance on motor carriers being aware of secret return locations is not a reasonable regulation or practice.

Second, although GSL was able to terminate containers at locations not on the matrix, this is due to its intense and dogged efforts to rid itself of these unwanted, and soon to be billed containers. VOCCs' reliance on a motor carrier's efforts to "call in favors to the terminals" is not a reasonable

regulation or practice. BOE Exhibit B, Cruz Dep. Tr. at 38–39, BOE00062–63. Further, motor carriers should not be punished with detention charges when these extraordinary attempts at maintaining fluidity are not fruitful. Additionally, returning containers to a location not specified by the VOCC carries a risk of incurring a fee. *Id.* at 61, BOE000085.

Third, Respondent’s post-hoc description of containers, other than those discussed in this proceeding, which were able to be returned on the days in question, bolsters BOE’s argument regarding appointment availability. This is so whether the containers are Hapag-Lloyd’s, other VOCC’s, other motor carriers, or by GSL. If a terminal’s appointments have filled, logic indicates that the appointments were filled by other containers, containers by other motor carriers, or containers belonging to other VOCCs.

Other VOCCs may have a greater allotment in their terminal service agreements, may have instructed the terminal to receive a greater number of containers on a particular day, and may have a more frequent or timely vessel schedule than Respondent. There are many reasons why other containers may have been returned to terminals; none absolve Respondent from having to take into account appointment availability when assessing detention disputes.

Fourth, Respondent claims that its regulations and practices are reasonable because it waived charges for some days the terminal was closed. This tracks with its reliance on the “shut-out” schedule but bears no relevance to the practice in dispute—waiving detention invoices due to appointment availability in the presence of heavy congestion and great demand is a factor.

Fifth, Respondent points to the appointments matrix GSL provided to establish its claim, which shows only the terminals where Hapag-Lloyd calls or allows empties to be received, as per the information Respondent provides to motor carriers. The fact that the appointment matrix does not show *all* terminals in LALB is irrelevant. GSL was seeking to return Respondent’s containers as

Respondent instructed and structured its search accordingly. Further, the use of the third-party searching platform only reinforces how diligent the motor carrier is in its search. The platform searches all locations for appointments every five minutes, which would not be humanly possible. BOE PFF29. The fact that the platform may not be accurate at any given instance is due to the live nature of terminals' appointment systems—it is possible for an appointment to post and then be taken by another motor carrier in minutes or seconds. BOE PFF30; *see also* BOE Exhibit H, Napoli Dep. Tr. at 5–8, BOE000152-155. Using a program to search regularly at brief intervals is far more likely to produce open appointment slots than a person attempting the task manually.

As far as the admissibility of screenshots, this issue was addressed in the Interpretive Rule. *Interpretive Rule*, 85 Fed. Reg. at 29663. It is unreasonable for Respondent to require evidence of a federal litigation standard in routine dispute resolution. Respondent neither includes nor publishes any guidelines regarding evidence used in dispute resolution, which the Interpretive Rule views as an unreasonable practice itself. *Id.*

Sixth, Respondent points to particular dates during free time when there is no evidence regarding return locations or appointments. Beyond distracting from the issue of the days and charges in dispute, free time is for the benefit of the cargo owner, not the VOCC. *See Investigation of Free Time Practices—Port of San Diego*, 9 FMC 525, 538-541 (FMC 1966); *Free Time and Demurrage Charges at New York*, 3 USMC 86 (FMC 1948). For these eleven containers, there were days when no return locations were provided, and/or no appointments available. This amounts to a unilateral reduction of the contractually agreed-to free days. Respondent indicates in the Govil Affidavit that it has a regulation of extending free time in these instances, but if this is true, Respondent has provided no written policy provided to its agent or the public. Restoring lost free

time is not a practice, and not enforced, as evidenced by the eleven containers in controversy. *See generally* BOE Exhibit A, Hapag-Lloyd Dispute Emails BOE000003

Lastly, Respondent claims it has practices that are reasonable with regard to waiving detention when appointments are unavailable (RPF 3). If this is a regulation, Respondent provides no evidence beyond the Govil Affidavit. It has produced no written policies, nor disseminated these policies to the public. Respondent's agent is unaware of any such policy, BOE Exhibit I, Saavedra Dep. Tr. at 9–11, BOE000190–92, and it is not enforced—as evidenced through the experiences of motor carriers who have provided evidence in this hearing. BOE Exhibit A, Hapag-Lloyd Dispute Emails BOE 000003; BOE Exhibit L, V.S. OAE, BOE Exhibit K, HL Resp. 3rd Interrog. RFA E-Mail Addendum BOE225–276.

C. Motor Carriers' Customary Obligations

Respondent argues that GSL failed in its customary obligations and then broadly hypothesizes that motor carriers could thwart the incentive principle and unilaterally extend free time by waiting until the last minute to seek non-existent appointments. But Respondent misunderstands the motor carriers, the incentive principle, and freight fluidity.

Motor carriers do not seek to keep containers, they want to return containers. It is a burden for them to keep empty containers due to storage fees, space, and chassis availability. It is to the benefit of motor carriers to terminate empty containers as soon as possible. Respondent's position is as if motor carriers seek to squander free time and purposefully balk at possibilities to return empty containers. This reasoning is deeply flawed. Motor carriers receive no benefit by wasting free time or ignoring possibilities to return empty containers if such opportunities were actually feasible. Just because there was a narrow opportunity to return a container at one instance within a day does not constitute a reasonable expectation on motor carriers.

Free time is for the benefit of a beneficial cargo owner (BCO). Motor carriers are only tasked to return empty containers to a designated marine terminal or depot. Once a motor carrier has picked up an empty container from the BCO, it is to the motor carrier's benefit to return the container as soon as possible. Only then are the motor carriers free from being concerned about the chassis, or storage space. Respondent presents several hypotheticals where motor carriers could have returned empty containers, but this case must be resolved on what actually happened between Hapag-Lloyd and the motor carrier—which is that the motor carrier was precluded from returning empty containers.

Respondent argues that the motor carrier failed its customary obligations in three ways: failing to make an effort to secure appointments; having no standard procedure for seeking or obtaining appointments; and by failing to “diligently attempt to make appointments.” Resp. Br. at 41–42. But Respondent misunderstands the position of motor carriers. First, under oath, the motor carrier testified that they attempted to secure appointments and that they have a standard procedure of seeking and obtaining appointments. BOE Exhibit B, Cruz Dep. Tr. at 25–33, BOE00049–57. GSL diligently sought appointments during times when the marine terminal operators release those appointments. *Id.* Respondent tries to characterize this as a lack of diligence when it is the most efficient and effective way to attempt to make appointments. Expecting a motor carrier to devote its time solely to searching appointments 24/7 is unrealistic, given the business demands on a motor carrier and, due to the dynamic nature of terminal systems is not a guarantee of appointments.

D. Supplement to Respondent's Brief

BOE appreciates Respondent's candor and professionalism in disclosing additional third-party screenshots obtained March 24, 2022. As this information is not yet entered into the record as of the deadline for this Reply Brief, BOE is unable to cite to the materials. However, BOE notes that this new evidence does not alter its analysis of the case, nor the reasonableness of Respondent's

practices in dispute resolution. The screenshots in question reveal appointments for terminals that were not on Respondent's matrix of return locations, and BOE reiterates its position that a reliance on undisclosed return locations is not a reasonable practice. As some archived screenshots purport to show limited appointment availability during free time, BOE reiterates its position that free time is for the benefit of the BCO, and that within the same period, free time was unilaterally reduced by Respondent's failure to identify return locations. For the narrow and limited number of appointments showing as available for locations within detention, BOE reiterates that the appointment system is dynamic, terminal's systems are live, and the motor carrier has met its customary obligations by checking for appointments multiple times upon learning of locations and containers to be returned, within the time frame of when terminals customarily release appointments and throughout the day.

E. BOE Penalty Calculation

"Civil penalties are punitive in nature. The main Congressional purpose of imposing civil penalties is to deter future violations of the Shipping Act." *Worldwide Relocations, Inc, et.al., Possible Violations of Sections 8, 10, And 19 of the Shipping Act Of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, Inc.*, 2010 FMC LEXIS 45, *17 (internal citations omitted). Unlike in a private party proceeding, where restitution is at issue, an enforcement proceeding is concerned with protection of the public through deterrence of violative behavior. Respondent's estimation of the amount of detention billed bears no relation to the amount of a civil penalty suggested by BOE. Civil penalty amounts are set by Congress. 46 U.S.C. § 41107, and increased annually, 46 C.F.R. § 506.4. Congress clearly

wishes the Commission to enforce the Act vigorously as seen by the fact that Congress gave the Commission power to assess penalties, which power the agency had not possessed for many years, and, furthermore, gave the Commission power to increase penalties from \$5,000 to up to \$25,000 per violation when such violations were committed "willfully and knowingly."

Ever Freight International Ltd., Sigma Express Inc., and Mario F. Chavarria dba Transcargo

Intl.— Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984, 1999 FMC

LEXIS 31 (FMC 1999).

Congress has over the years increased the Commission's authority to stamp out malpractices and to enforce the Shipping Acts, first by giving the Commission authority to assess penalties, which the Commission had not been authorized to do for many years, and later by increasing the amount of penalties that the Commission could assess for violations that were committed 'knowingly and willfully.'

Best Freight Int'l Ltd., et al.— Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping

Act of 1984, 1998 FMC LEXIS 33 (FMC 1998). Each day of a continuing violation is a separate

violation. 46 U.S.C. § 41107. The violation at issue here is Respondent's refusal to waive

detention charges, which it has the option to do daily, both before and after this Order of

Investigation and Hearing was filed. Although Respondent objects to this concept, it is part of the

statute.

Respondent also objects to BOE's calculation in requesting the ALJ impose a penalty that is

10% of the statutory maximum. "To determine a specific amount of civil penalty is a most

challenging responsibility. The matter is one for the exercise of sound discretion, essentially

requires the weighing and balancing of eight factors set forth in law, and is ultimately subjective

and not one governed by science." *Worldwide Relocations, Inc, et.al., Possible Violations of*

Sections 8, 10, And 19 of the Shipping Act Of 1984 and the Commission's Regulations at 46 C.F.R.

*§§ 515.3, 515.21, and 520.3, Inc., 2010 FMC LEXIS 45, *17 (internal citations omitted)*

As was stated in *Cari-Cargo, Int., Inc.*, 23 SRR 1007, 1018 (I.D., F.M.C. administratively final, 1986):

. . . in fixing the exact amount of penalties, the Commission, which is vested with considerable discretion in such matters, is required to exercise great care to ensure that the penalty is tailored to the particular facts of the case, considers any factors in mitigation as well as in aggravation, and does not impose unduly harsh or extreme sanctions while at the same time deters violations and achieves the objectives of the

law. Obviously, “[t]he prescription of fair penalty amounts is not an exact science,” and “[t]here is a relatively broad range within which a reasonable penalty might lie.”

Universal Logistic Forwarding Co., Ltd.—Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984, , 2001 FMC LEXIS 29, *22. In calculating the penalty amount of \$16.5 million as a percentage of the maximum, BOE arrived at the rounded 10% calculation as a factor that justice requires. BOE is within its rights to request the ALJ impose the maximum penalty of \$164,690,328.00 for these eleven containers alone. However, BOE used this 10% calculation because it believes that amount would serve as a deterrent, and that the full penalty amount would be far above and beyond what justice requires and would be unduly harsh.

It is important to note that this is a Section 41102(c) case, which goes to the heart of a carrier’s practices. The penalty amount should reflect the greater reach that the violative behavior may have with respect to the shipping public as a whole, and the ocean transportation marketplace. Unlike in a Section 41102(a) case, where individual shipments are examples of a particular violative scheme within a carrier’s operations, this case seeks to correct the operations themselves, namely a general practice, universally and regularly applied. Hence, the civil penalty amount should be significant enough to prompt corrective action and continued observation of the Act and Interpretive Rule—it cannot be written off as a minor cost of doing business, but instead should negate profits associated with the violative practice overall. In this case, the penalty amount requested by BOE is a minor percentage of what Respondent has gained in the period at issue from detention and demurrage charges and is large enough to serve this deterrent function.

IV. CONCLUSION

For the reasons articulated above, BOE requests the ALJ discount the Govil Affidavit, admit the Padilla materials, find that Respondent violated 46 U.S.C. § 41102(c), impose civil penalties within the range of \$16.5 million to \$164,690,328.00, and issue any cease-and-desist orders as appropriate.

Respectfully submitted,

March 25, 2022

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CERTIFICATE OF SERVICE

I hereby certify that on this **25th day of March, 2022**, a copy of the foregoing BOE Reply Brief has been served upon all counsel of record in accordance with 46 C.F.R. Part 502.

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